On currency, we have a very stable, stated policy that we do not target any level or price band but let the market forces determine what the appropriate level of the rupee should be, whether it is the dollar or the pound or the euro or any other foreign currency. Our aim is to primarily curb any kind of undue or excessive or abnormal volatility or any kind of unnecessary speculation getting built into the prices. That is when we come in. Otherwise, we let the market forces determine the prices, which, in the long run, we believe are quite efficient. So, it is not that we have made a conscious effort to let the rupee depreciate.

Q. In the past four years, the RBI has spent billions of dollars shoring up the rupee. So, will the policy going ahead be that the RBI will not intervene unless, as you said, there are major fluctuations?

First of all, I don't think there is any major change in RBI policy. As I mentioned earlier, the policy has been very stable over the past few years and it's only undue or excessive volatility that we try to reduce. Secondly, some volatility will continue to happen, which business has factored in and prepared for. In the past 10 years, rupee depreciation has on an average been about 3 per cent per year and, in the previous 20 years, about 3.4 per cent. So, the depreciation on average has come down and even going forward, the depreciation level should not be significantly different. We are quite confident of having a very strong and robust external sector position. We have 11 months of import cover for goods, and we have 92 per cent coverage for our external debt. Our external debt is about $750 billion, and we have about $690 billion of forex reserves. So, we are very comfortable in meeting our external sector liabilities, whether in the current account or on the capital account.

Q. What are the key reasons the rupee will not depreciate in a way that will harm the economy?

The rupee tends to depreciate because our inflation is generally higher than other advanced economies. So, to some extent, a depreciation is not out of sync. However, it may not be a smooth or secular kind of decline. There will be ups and downs, which are expected because, in markets, whether forex or others, a lot gets driven by sentiment and events. The fundamentals of our country continue to remain strong. We are well poised to meet all our external requirements and so the rupee should be at a level which supports our Indian economy.

Q. Foreign portfolio investors have pulled out nearly Rs 1.6 lakh crore from equities in the past year; net FDI, too, was negative in September. Is this cause for concern?

I'd rather concentrate on the current account deficit, which previously was high, but over the years has shrunk rapidly to comfortable levels. So, we should be able to easily meet this kind of current account deficit given the flows we have on the capital account. On FPIs, there is volatility. FPI inflows have been rather low on the equity side. On the debt side, we have had good

ON FALLING RUPEE

"WE HAVE A STABLE, STATED POLICY TO LET MARKET FORCES DETERMINE THE APPROPRIATE LEVEL OF THE RUPEE UNLESS THERE IS EXCESSIVE VOLATILITY"

FPI inflows and expect them to continue. Similarly, gross FDI has increased, though net FDI may have been negligible. Gross FDI is the number we should be looking at from the economy's point of view. Net FDI is relevant only for the external balance of payments position. It is still positive despite outward investments and repatriations, which are healthy signs of a strong, confident economy, that lets investments get repatriated when the investors want to do so.

Q. Coming back to GDP growth rates, the RBI's forecast for FY26 has been 7.3 per cent, though those in the markets are already pencilling a higher number. What are the key drivers powering this momentum?

Both private final consumption expenditure and gross fixed capital formation have logged very good growth in the last two quarters. There have been some headwinds on the export side, but we should view this as an opportunity for us. We are seeing some early signs of it in terms of exports, with the tariff-hit sectors diversifying. The momentum conditioned by the many building blocks will carry us through in the coming years.

Q. The central government has always complained that private investment didn't live up to expectations after the huge corporate tax rate cuts. Do you see that change now and is it sufficient to propel growth?

While gross fixed capital formation has grown by an average of 8 per cent since 2022-23, as has the GDP, private sector investment could have been better. But it is demand that leads to investment, not the other way around. And with consumption continuing to grow at a fast pace, I am confident private investment will further grow. Let us also keep a couple of things in mind about private investment. One, capital is becoming more productive and efficient. And two, the composition of our economy continues to be dominated towards the services sector, which is growing at a fast pace and is less